Note 5: Financial Guarantees and Financial Instruments with Off-Balance Sheet Risk (As Restated)

Ginnie Mae receives a guaranty fee from Issuers which is calculated based on the unpaid principal balance of outstanding MBS in the defaulted and non-defaulted Issuers' portfolio. This guaranty fee represents compensation for taking on the risk of providing the guaranty to MBS investors for the timely payment of principal and interest in the event of Issuers' default.

Ginnie Mae recognizes a guaranty asset upon issuance of a guaranty for the expected present value of these guaranty fees. The guaranty asset recognized on the Balance Sheet is $7,016 million and $5,963 million as of September 30, 2015 and 2014, respectively. The guaranty liability represents the non-contingent guaranty liability for Ginnie Mae's obligation to stand ready to perform on the guaranty. The guaranty liability recognized on the Balance Sheet is $5,752 million and $5,092 million as of September 30, 2015 and 2014, respectively. After the initial measurement, the guaranty asset is recorded at fair value and the guarantee liability is amortized based on the remaining unpaid principal of the MBS pools. The difference in accounting will cause volatility in the revenues and expenses from the guaranty asset and guaranty obligation as opposed to previous years in which the guaranty liability was incorrectly accounted for on a fair value basis in line with the guaranty asset. In addition, to produce an accurate reflection of activity in previous years, the initial fair values of the guaranty asset and liability would need to be reproduced. This was not performed due to operational constraints in a short time frame and management will assess the information presented within this footnote for restatement in fiscal year 2016.

For the guarantee asset and liability recognized on the Balance Sheet, Ginnie Mae's maximum potential exposure under these guarantees is primarily comprised of the amount of MBS securities outstanding. On September 30, 2015 and 2014, the amount of securities outstanding, which is guaranteed by Ginnie Mae, was $1.6 trillion and $1.5 trillion, respectively. However, Ginnie Mae's potential loss is considerably less due to the financial strength of its Issuers. Additionally, in the event of default of an Issuer, the underlying mortgages serve as primary collateral, and FHA, USDA, VA, and PIH insurance or guaranty indemnifies Ginnie Mae for most losses. The Ginnie Mae guaranteed security is a pass-through security whereby mortgage principal and interest payments, except for servicing and guaranty fees, are passed through to the security holders monthly. Mortgage prepayments are also passed through to security holders. As a result of the security's structure, Ginnie Mae bears no interest rate or liquidity risk. Ginnie Mae's exposure to credit loss is contingent on the nonperformance of Ginnie Mae Issuers. Other than those Issuers considered in the MBS loss liability, Ginnie Mae does not anticipate nonperformance by its other counterparties. The approximate term of the guarantee is 15-30 years. The maximum term is capped at 40 years.

Ginnie Mae is also subject to credit risk for its outstanding commitments to guarantee MBS which are not reflected on its Balance Sheets. The fair values of these commitments are an unrecognized MBS commitment for financial statement purposes. During the mortgage closing period and prior to granting its guaranty, Ginnie Mae enters into commitments to guaranty MBS. The commitment ends when the securities are issued or the commitment period expires, which is 12 months from its receipt for single family Issuers and 24 months from its receipt for multifamily Issuers. Ginnie Mae's risk related to outstanding commitments is much less than for the outstanding balance of MBS commitments due in

part to Ginnie Mae's ability to limit commitment authority granted to individual MBS Issuers. Outstanding MBS and commitments were as follows:

	September 30	
(Dollars in billions)	2015	2014
Outstanding MBS	$ 1,609	$ 1,527
Outstanding MBS Commitments	$ 129	$ 98

If all outstanding MBS commitments were utilized as of September 30, 2015, Ginnie Mae's corresponding guaranty liability, its obligation to stand ready to perform on these securities, would be approximately $566.8 million as of September 30, 2015, and $401.0 million as of September 30, 2014.

The Ginnie Mae MBS serves as the underlying collateral for multiclass products, such as Real Estate Mortgage Investment Conduits (REMIC), Callable Trusts, Platinum Certificates, and Stripped Mortgage-Backed Securities (SMBS), for which Ginnie Mae also guarantees the timely payment of principal and interest. These structured transactions allow the private sector to combine and restructure cash flows from Ginnie Mae MBS into securities that meet unique investor requirements for yield, maturity, and call-option features.

In its multiclass securities program, Ginnie Mae issued a total of $93.1 billion as of September 30, 2015, and $113.7 billion as of September 30, 2014. The estimated outstanding balance of multiclass securities included in the outstanding MBS balance was $472.7 billion and $487.1 billion as of September 30, 2015, and September 30, 2014, respectively. These guaranteed securities do not subject Ginnie Mae to additional credit risk beyond that assumed under the MBS program.

Management will assess the information presented within this footnote for restatement in fiscal year 2016. Please refer to "Note 2 (Out-of-Scope)".